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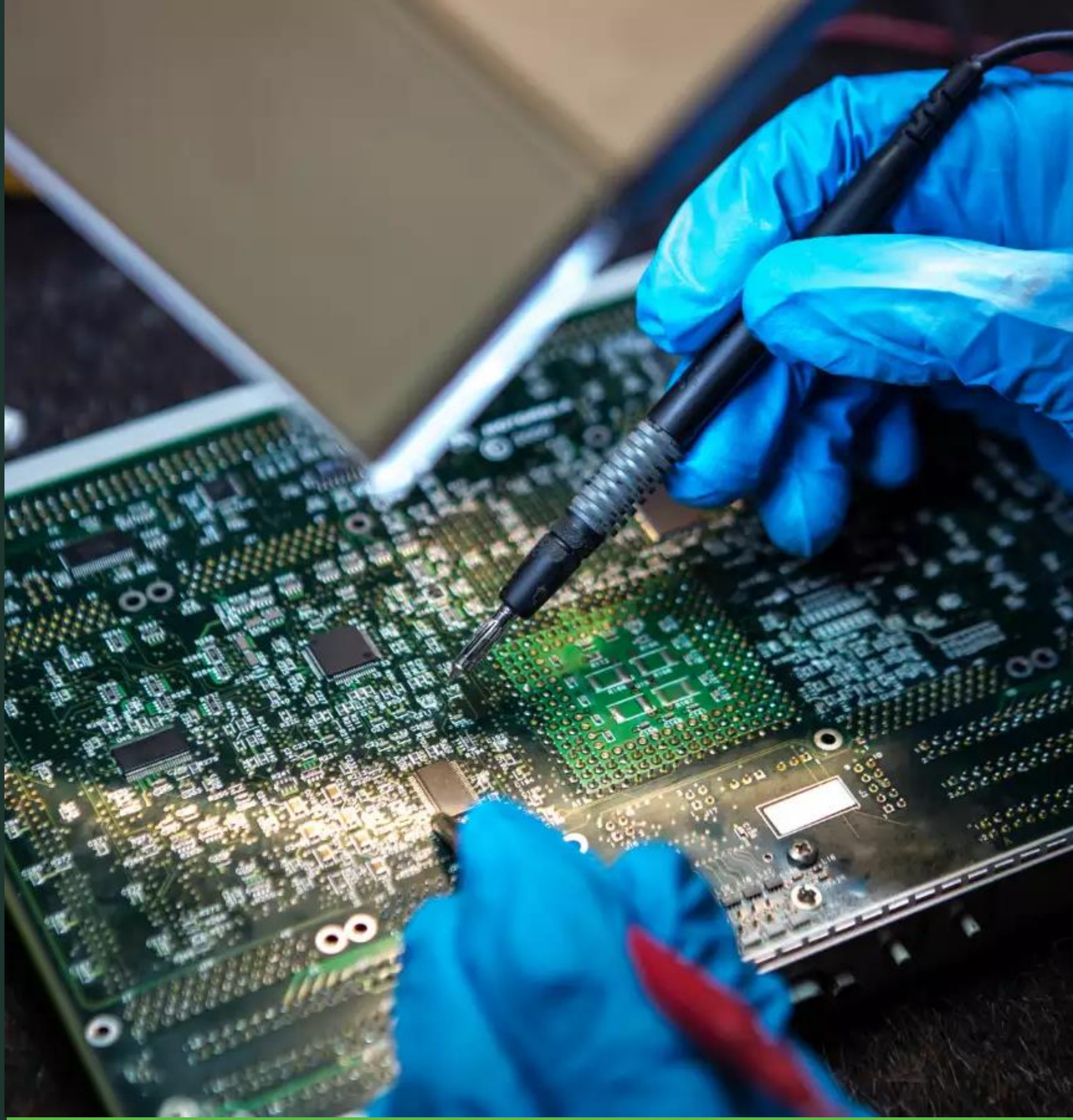
MARC Insights

Electronic Manufacturing Services (EMS)

2026



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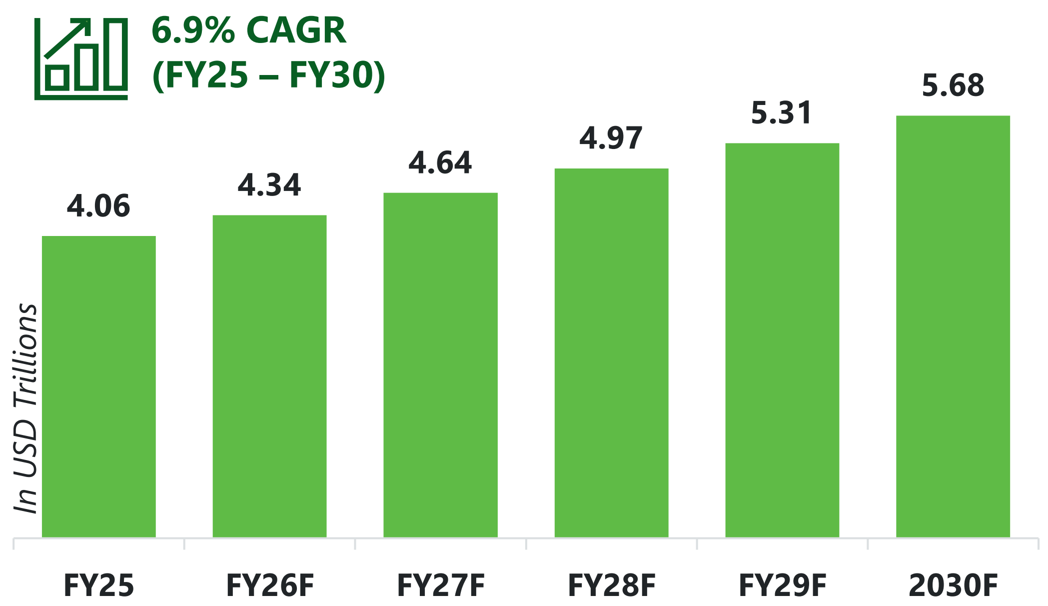
Global Electronics & EMS Industry

Global Electrical & Electronics Industry

The Global Electrical and Electronics market was valued at USD 4.06 trillion in FY25 and continues to grow at **CAGR of 6.9%** and is expected to reach USD 5.68 trillion in FY30.

Global Electrical & Electronics Market Size



Source: *thebusinessresearch*, *marketsandmarkets*

Major Trends in the forecast period

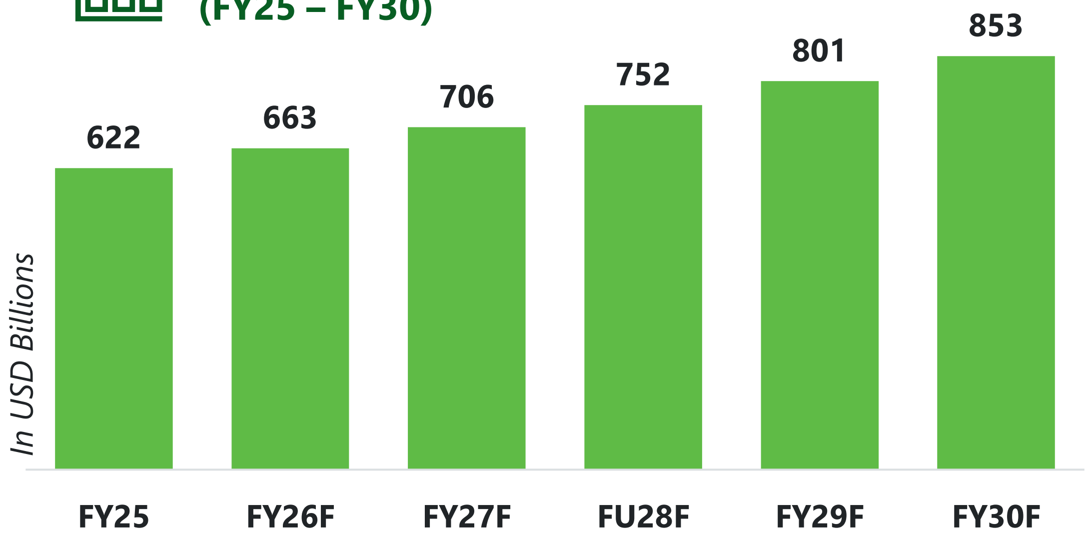
- Internet of Things (IoT) integration
- Edge Computing
- Robotics & Automation
- Agentic and Physical AI
- Smart manufacturing

Global EMS Industry

The Global Electronics Manufacturing Services market was worth USD 622 billion in FY25 and is expected to grow to reach USD 853 billion in FY30 at a **CAGR of 6.51%.**

Global EMS Market Size

6.51 % CAGR
(FY25 – FY30)



Products produced by the Global EMS Industry

- Printed Circuit Board (PCB)
- Electronic Components
- Consumer Electronics
- Industrial and Medical Equipment

Services provided by the Global EMS Industry

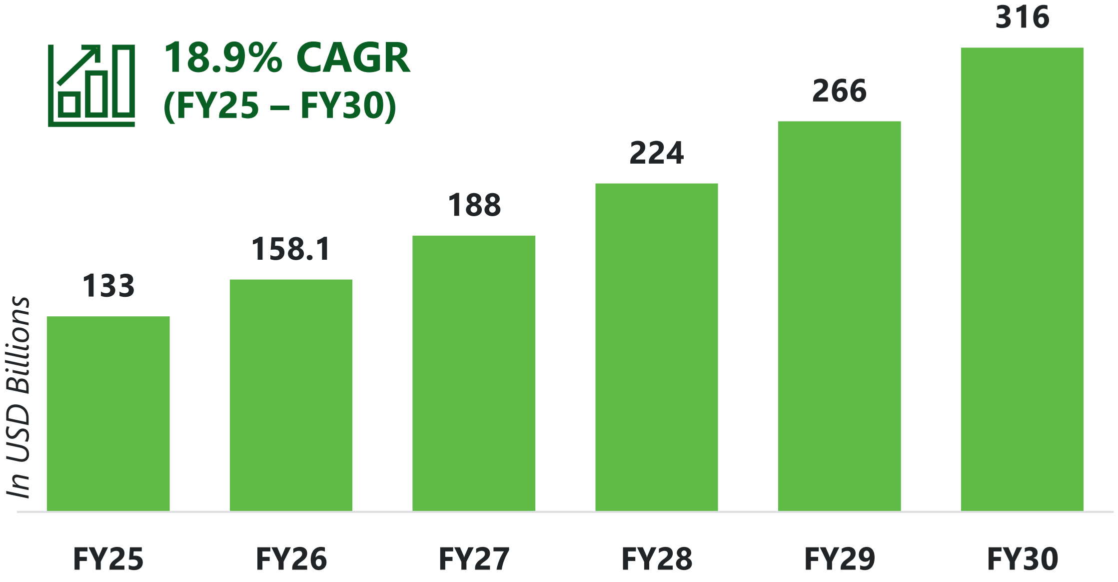
- PCB Assembly
- Component Sourcing and Procurement
- Design for Manufacturing
- Engineering Services
- Box Build Assembly
- Testing and Quality Assurance

Source: fortunebusinessinsights, researchandmarkets , Mordor & MARC Analysis

Indian Electronics Industry

Indian Electronics Industry

Indian Electronics Market Size



The Electronics market is expected to reach USD 316 billion by FY30 at a **CAGR of 18.9%.**

The Electronics sector of India contributed around **3.4%** in FY25 of the country's Gross Domestic Product (GDP).

Major Trends

- Circular Economy
- Artificial Intelligence of things (AIoT)
- Use of Industrial Robots
- Shift from B2B to B2B2C
- Use of Digital Twins
- Leveraging supply chain

Source: IBEF, pib, careedgeadvisory ibef, Dixon, enviliance & MARC Analysis

Indian Electronics Industry – Domestic Production

Domestic Production Segment Growth Drivers

Mobile Phones: Transition from domestic consumption to a **global export powerhouse**, now India's 3rd largest export category growing at 54% YoY

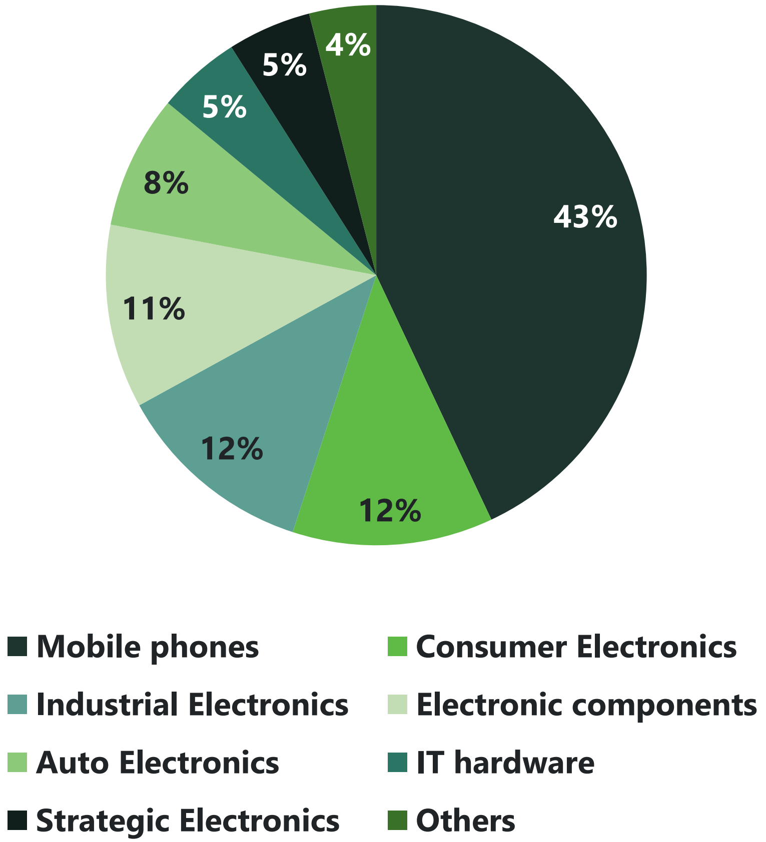
Consumer Electronics: Changing lifestyle and higher spending capacity that includes televisions, washing machines, refrigerators, cameras.

Industrial Electronics: Driven by **Industry 4.0** and the expansion of the **AI Data Center** ecosystem in India due to tax holiday for foreign companies using Indian data centers.

Auto Electronics: Electric vehicles demand driven by environmental sustainability and Accelerated by the **PM E-DRIVE** scheme, 2 million units sold in FY25

IT Hardware: One of the fastest growing segments fueled by the **PLI 2.0 scheme** and valued at USD 6.6 Billion as of FY25

Domestic Production Segmentation - FY25

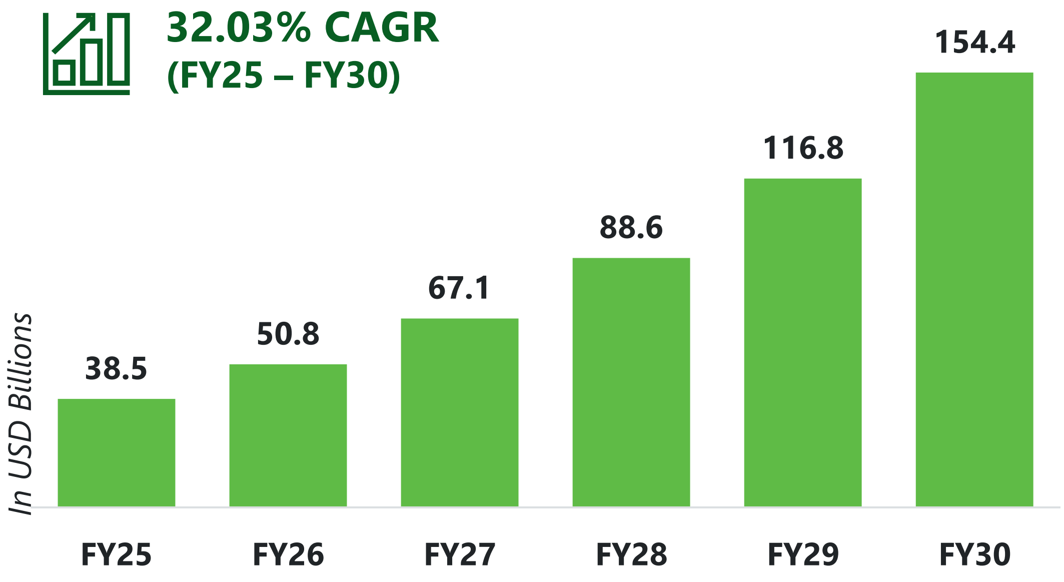


Source: pib, , ndtvprofit, gov.in, electronics, imarc, MeIT, careedgeadvisory

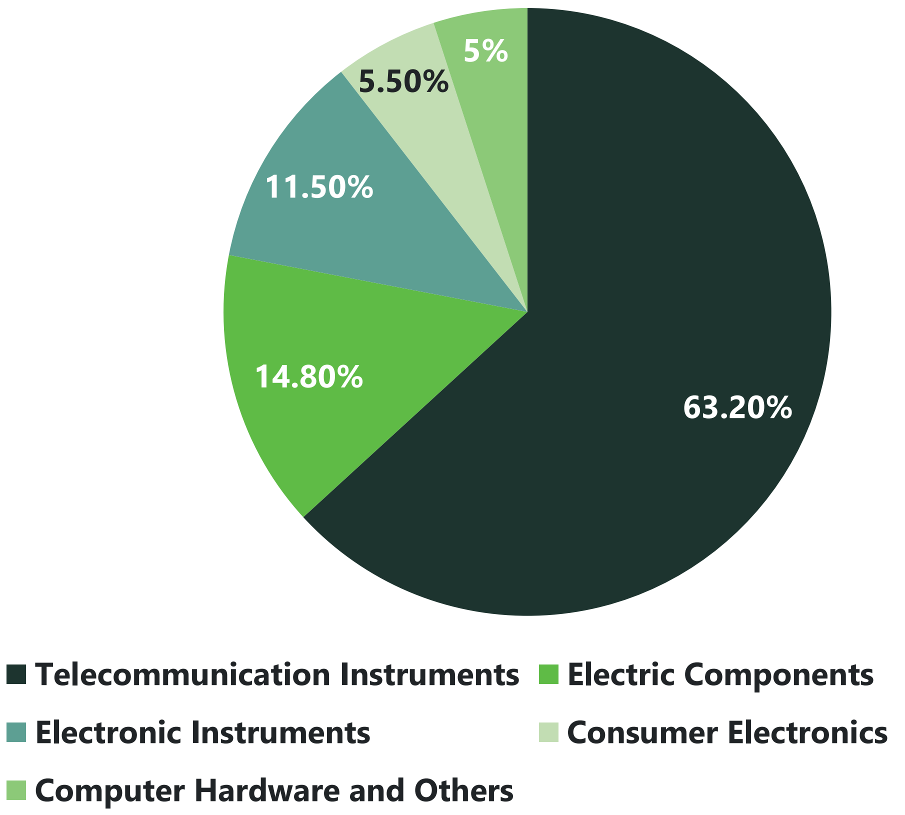
Indian Electronics Industry – Exports

Market Size Electronics Exports

As of FY25, Electronic exports were recorded at USD 38.5 Billion, The industry is expected to grow at a CAGR of **32.03% and reach USD 154.4 Billion** by FY30.



Electronics Exports Segmentation – FY25

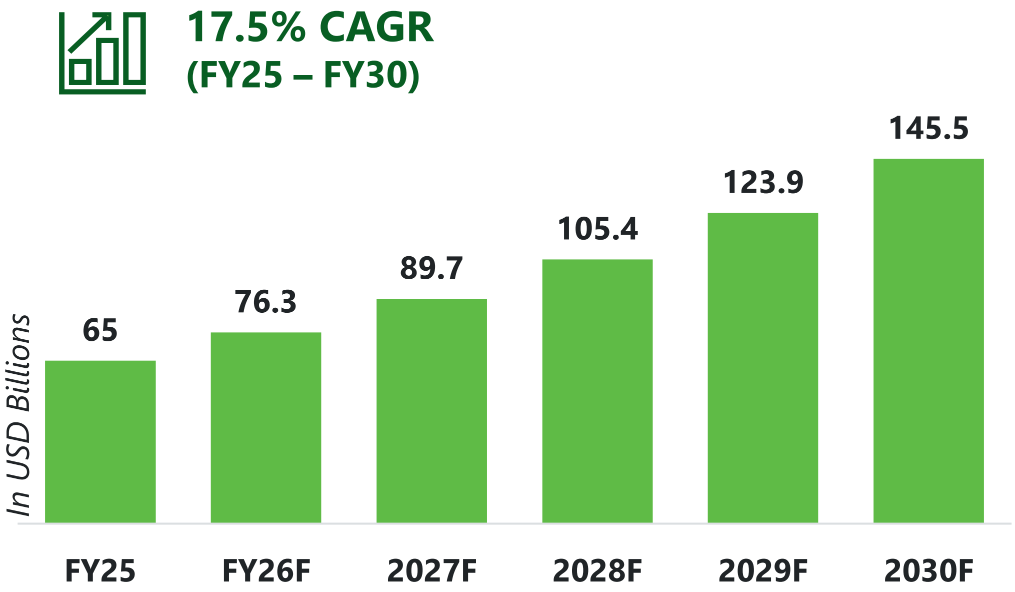


Source: ukbelectronics, pib, ndtvprofit, pib.gov, ibef, dgciskol

Indian EMS Industry

Indian EMS Industry

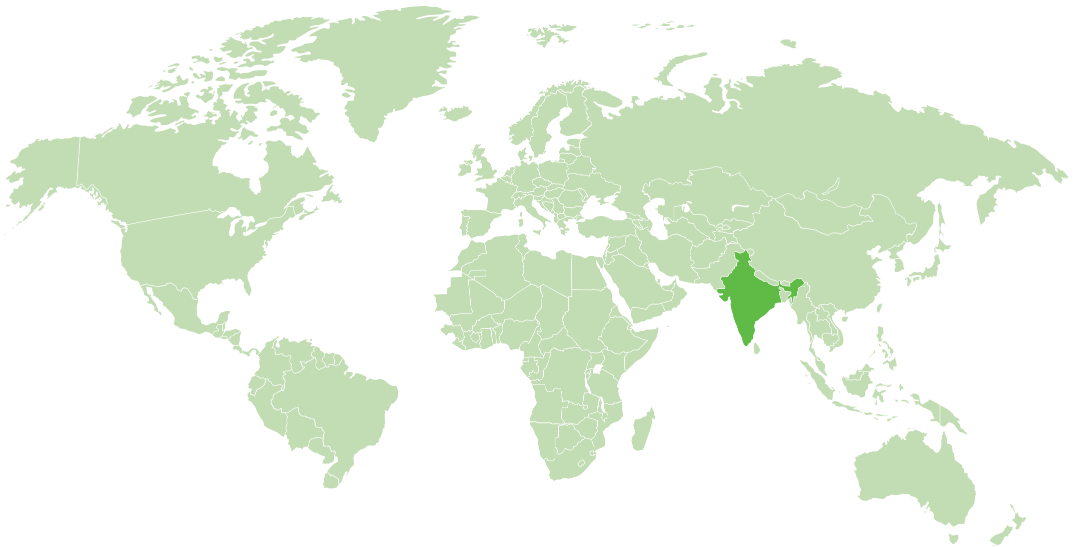
Indian EMS Market Size



India's share in the global Electronics Manufacturing Services (EMS) market increased from 8% in FY22 to 10.5% in FY25, reflecting a notable expansion in its global positioning and indicating accelerated growth relative to the overall market.

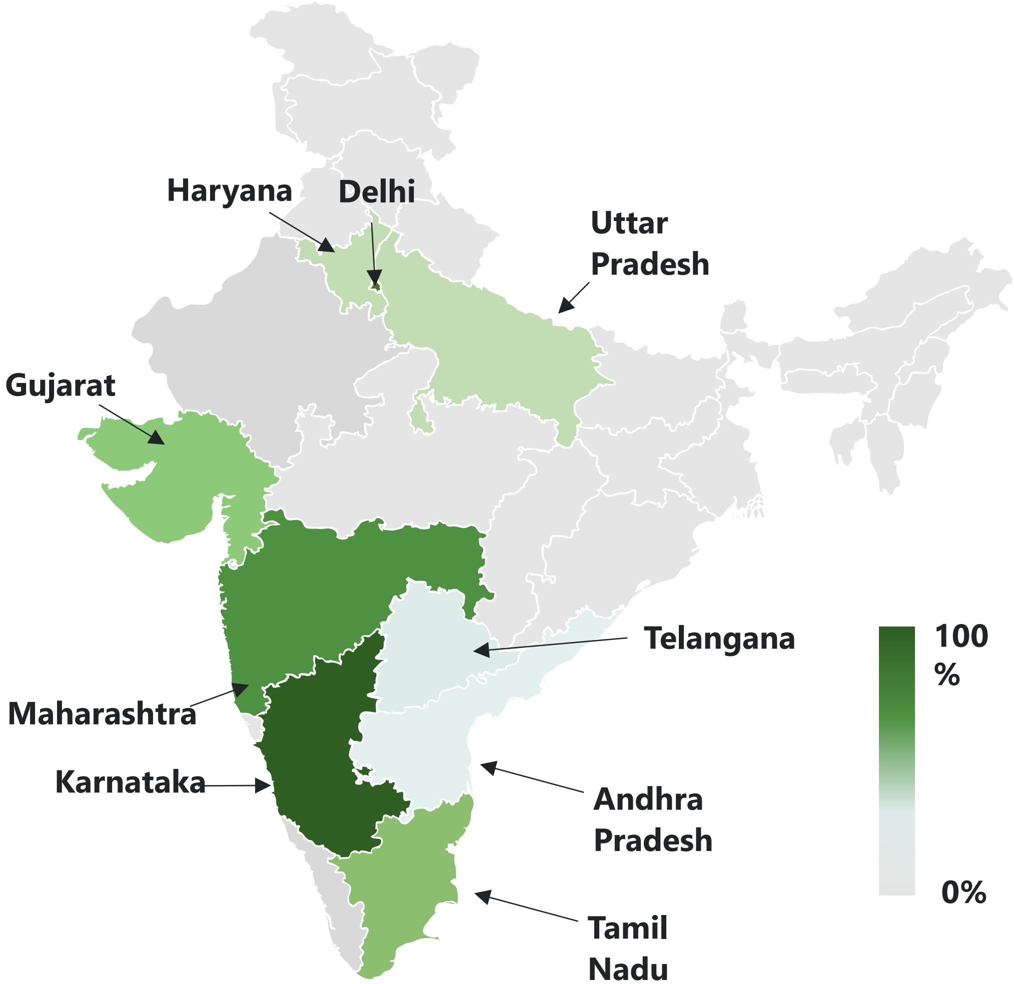
Source: psmarket, Mordor,

Indian EMS Market Share



Year	FY25		FY30 (F)	
	Value in USD Bn	(%)	Value in USD Bn	(%)
India	65	10.5%	145.5	17.1%
Rest of the World	557	89.5%	707.5	82.9%

Geographical Presence of Indian EMS Companies



State	Percentage Breakdown Of EMS Companies (2026)
Karnataka	22%
Maharashtra	15%
Delhi	15%
Tamil Nadu	11%
Gujarat	8%
Uttar Pradesh	7%
Haryana	5%
Telangana	5%
Andhra Pradesh	3%
Others	9%

Source: pib, investindia, elcina

Top Players in the Indian EMS Market

EMS Industry Companies

Global Companies
International companies operating in India

- Foxconn India Pvt Ltd
- Flextronics Technologies Pvt Ltd
- Jabil Circuit India Pvt Ltd
- Sanmina-SCI India Pvt Ltd
- Salcomp Manufacturing India Pvt Ltd
- Compal Electronics India Pvt Ltd
- Dbg Technology India Pvt Ltd

Large Indian Companies
Revenue > USD 10 million

- Tata Electronics
- Dixon technologies
- Amber Enterprises
- PG Electroplast
- Syrma SGS Tech
- VVDN Technologies
- SFO Technologies
- Optiemus Infracom
- Avalon Technologies
- Kaynes Technologies

Mid/Small Indian Companies
Revenue < USD 10 million

- Vinrox Technologies
- Mefron Technologies
- CWD Limited
- Vital Electronics

Source: angelone, businesstandard, screener

Macroeconomic Overview of the Indian EMS Sector [1/2]

PEST Analysis

Political

- The PLI 2.0 framework has introduced Export Multipliers, where subsidies are weighted higher for products destined for the US and EU markets, encouraging global quality standards.
- The Union Budget 2026–27 increased the outlay for the Electronics Components Manufacturing Scheme (ECMS) to USD 4.4 Billion.

Economic

- Electronics exports reached an all-time high of USD 38.5 Billion in 2025, becoming India's third-largest and fastest-growing export category.
- Per capita GDP is set to cross USD 3,000 by 2026, fueling domestic demand for consumer electronics.

Social

- 26% of India's 1.4 billion population is aged 15–29, providing a tech-savvy labor pool for high-velocity production lines
- Due to prioritization of sustainability initiatives, EMS providers are adopting e-waste management and energy efficient processes.

Technological

- The opening of India's first commercial semiconductor unit boosts the EMS sector by reducing the import dependency and supply chain lead times.
- EMS players are now using real time sensor analytics and digital twin operations to reduce downtime by an estimated 15%.

Source: pib.gov, bajajfinserv, pib,, technavio

Macroeconomic Overview of the Indian EMS Sector [2/2]

Growth Drivers

- **5G & IoT Proliferation:** The mass rollout of 5G infrastructure and smart city projects is driving demand for localized manufacturing of routers, base stations, and industrial IoT sensors.
- **The China Plus One Policy:** Global Tier-1 OEMs (Apple, Google, Dell) have moved beyond testing India and have scaled production lines for complex products like laptops and servers.
- **(Automotive & EV):** The most significant driver is the rising electronic content in vehicles. EVs require sophisticated Battery Management Systems (BMS) and power electronics, offering 2x-3x higher margins than mobile assembly.
- **Consumer & IT Hardware:** Rapid urbanization and "work-from-anywhere" trends sustain high demand for laptops, tablets, and smart home devices.

Challenges

- **Working Capital Constraint** : The EMS model often forces Indian firms to finance the supply chain on behalf of powerful OEM customers. Because suppliers must be paid in 30–60 days while OEMs take 60–90 days to pay, leading to cash going out faster than it comes in
- **Import Dependency :** Despite growing exports, nearly 75% to 90% of high-end components like multi-layer PCBs and active semiconductors are still imported, leaving manufacturers highly vulnerable to global shipping disruptions
- **Currency Exposure:** The companies face margin erosion due to a weakening rupee and a high dependency on imports.
- **Skill Gaps and Technological Complexities:** As Indian EMS firms expand into complex sectors like EV components and semiconductor packaging, A severe lack of specialized talent is driving up operational costs and forcing Indian EMS firms to make capital-intensive investments in automation and robotics to compensate.

Source: pib.gov, bajajfinserv, pib, Technavio, indiatoday, mci

Indian Government’s Initiatives

Indian Government's Initiatives

Production Linked Incentive Scheme 2.0 (PLI 2.0)

PLI 2.0 (specifically for IT Hardware) is intended to transition India from a mobile-first assembly hub to a diversified global powerhouse for Laptops, Tablets, and Servers. With an outlay of USD 2 Billion

Incentives:

- Provides tiered cash incentives of 3% to 5% on incremental sales
- The scheme offers a flexible starting year to accommodate facility setup
- Bonus weightage for domesticating the "Bill of Materials," particularly for designed chips in India

Indian Semiconductor Mission 2.0 (ISM 2.0)

The primary goal is domesticating the production of semiconductor equipment, specialty chemicals, and gases to reduce the nearly 100% import dependency on core manufacturing tools, it has an outlay of USD 110 Million

Incentives:

- A flat 50% fiscal support on total project costs on equal footing basis for Silicon Fabs, Display Fabs, and OSAT/ATMP (Packaging) unit
- incentives for manufacturing specialty chemicals, gases, and fab equipment to secure the core supply chain

The Electronics Components Manufacturing Scheme (ECMS)

The Electronics Components Manufacturing Scheme (ECMS) is the definitive policy to localize the 80% Bill of Materials import dependency, Its outlay for 2026 is USD 4.4 Billion

Incentives:

- A direct financial incentive of 25% on capital expenditure for plant, machinery, and R&D
- Cash incentives on incremental year-on-year sales over a 6-year tenure
- Combined 25% Capex rebate + Turnover incentives for high-priority items like Multi layer PCBs

Source: Pib, meity, ISM2, hindustantimes

Notable Investment Activities

Notable Investments in Indian EMS Companies

Year	Company	Place	Investment value	Purpose
2025	Kaynes Technology Ltd	Tamil Nadu	USD 570 million	Electronics component manufacturing unit focused on high-end components.
2025	Amber Enterprises India Ltd	Uttar Pradesh	USD 798 million	To set up a large-scale electronics manufacturing facility that will house units for PCB assembly and consumer electronics production.
2025	Nextgen Hitech Semiconductor Pvt Ltd	Gujrat	USD 997 million	To establish India's first fully integrated Si and SiC power semiconductor platform.
2025	Yuzhan Technologies Pvt Ltd	Tamil Nadu	USD 1,480 million	Setting up a new display module manufacturing facility to increase iPhone assembly capacity.
2025	Tata Electronics Pvt Ltd	Assam	USD 3,180 million	To establish a semiconductor assembly and test facility.

Source: newsroom, financialexpress, Reuters, gujaratreview, tata, theprint, equity

Mergers & Acquisitions in EMS Industry

Tata Electronics & Pegatron India - 2025

Tata acquired a 60% controlling stake in Pegatron’s iPhone plant in Tamil Nadu . This move consolidates Apple’s "China Plus One" capacity under Indian management and solidifies its position as a major electronics manufacturer

Kaynes Technology & Mixx Technologies - 2025

Kaynes Technology acquired Mixx Technologies Inc. to enhance its high-tech design and embedded systems capabilities. This move is part of Kaynes’ broader strategy to transition from a pure EMS provider to an Original Design Manufacturer (ODM)

Dixon Technologies & Ismartu - 2025

Dixon Technologies acquired a 50.1% controlling stake worth USD 28 Million in Ismartu India, the manufacturing unit for Transsion Holdings. This acquisition allows Dixon to internalize the production of smartphone enclosures and critical sub-components.

Syrma SGS & Elcome Integrated - 2025

Syrma SGS completed the acquisition of a 60% stake worth USD 27.5 Million in Elcome Integrated Systems. This strategic acquisition was designed to provide Syrma with immediate, high-margin entry into the specialized Defence, Maritime, and Aerospace electronics sectors.

Source : thehindu, economictimes, syrmasgs, indianexpress, upstox

MARC’s Key Takeaways

MARC's Key Takeaways

Major Trends in the EMS Sector

Circular Economy	AI of Things	Industrial Robots
B2B to B2B2C	Digital Twins	Leverage Supply Chains

Potential Future Challenges

Global Competition	Lack of Skilled Labour	Import Dependency
Operating margins	Compliance issues	E-waste

India's EMS Sector : An Attractive Investment Opportunity

India is a major player in the global Electronics Manufacturing Services industry. The country is rapidly becoming an electronics manufacturing hub, with the sector expected to rise from USD 65 billion in FY25 to **USD 145.5 billion** by FY30.

Leading operators are actively diluting low-margin consumer electronics in favor of high-complexity Industrial, Automotive, and Aerospace segments. This pivot is structurally expanding sector EBITDA margins from historical 4-5% averages toward **10-12%+ targets**

Key initiative driving India's push towards electronics manufacturing is **The Electronics Components Manufacturing Scheme (ECMS)** , with an outlay of **USD 4.4 Billion.**

Source: MARC Analysis

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